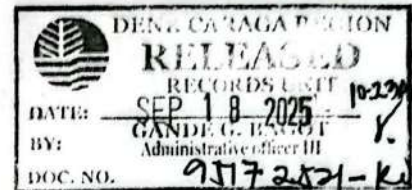




Department of Environment and Natural Resources
Kagawaran ng Kapaligiran at Likas Yaman
Caraga Region



BAGONG PILIPINAS



MEMORANDUM

TO : **THE PENR OFFICER**
DENR, PENRO-Agusan del Sur
Patin-ay, Prosperidad

ATT'N. : **CENRO-BAYUGAN**

FROM : **THE OIC, REGIONAL EXECUTIVE DIRECTOR**

SUBJECT : **APPROVED LUMBER SUPPLY CONTRACT ENTERED INTO BY AND BETWEEN CBFM-PO MABUHAY TIMBERLAND FARMERS MULTI-PURPOSE COOPERATIVE (SUPPLIER) AND PROSPERIDAD LUMBER DEALERS AND FURNITURE ASSOCIATION, INC. (BUYER)**

DATE : **SEP 18 2025**

Attached is a copy of the approved Lumber Supply Contract entered into by and between CBFM-PO Mabuhay Timberland Farmers Multi-Purpose Cooperative (as supplier) and Prosperidad Lumber Dealers and Furniture Association, Inc. (as buyer) with a contracted volume of 127,200.0 board feet/600.0 cubic meters of chainsaw-cut lumber of Falcata and Gmelina.

The approved Lumber Supply Contract with Control No. RXIII-2025-102 was duly notarized by Atty. Ferdinand M.M. Bañosia on July 4, 2025, with Document No. 492, Page No. 99, Book No. LIII, Series of 2025. The same will serve as a supporting document of the buyer's application for a Certificate of Registration as Lumber Dealer.

Please be reminded that cutting, harvesting, and transport of government-funded tree plantations within the CBFM area is subject to existing rules and regulations and shall only be allowed if the same has already undergone and passed the performance evaluation with at least 85% survival rate and already be adopted through a Memorandum of Agreement (MOA) forged by and between the concerned DENR Officer and CBFM PO represented by its chairman.

For information and record.


MARITES M. OCAMPO

LUMBER SUPPLY CONTRACT**KNOW ALL MEN BY THESE PRESENTS:**

This contract is made and entered into by and between **Mabuhay Timberland Farmers Multi-Purpose Cooperative (MATILFAMCO)**, a firm duly organized and existing by virtue of the laws of the Republic of the Philippines represented by **PO Chairman JAY RYAN M. RAFASOLA**, with postal address at Barangay Mabuhay, Prosperidad, Agusan del Sur, Philippines herein referred to as the **SUPPLIER**.

and

Prosperidad Lumber Dealers and Furniture Association, Inc. (PLDFAI) represented by **Mr. ARNEL L. ALUTE** of legal age, Filipino, Married and a resident of Brgy. Poblacion, Prosperidad, Agusan del Sur Philippines, hereinafter known and referred to as the **BUYER**.

-WITNESSETH-

WHEREAS, the **SUPPLIER** is a Community Base Forest Management Agreement (CBFMA) duly registered by the DENR with CBFMA No. 71001 located in Barangay Mabuhay, Prosperidad, Agusan del Sur issued by the Department of Environment and Natural Resources (DENR) on May 13, 1998 and has an allowable volume and the capacity to supply as indicated below, to wit:



Inventoried Volume (cu.m.)		Previous Commitments/ Issued Certificate to transport (cu.m.)	Available Balance (cu.m.)
Falcata	21,997.00 cu.m.	3,638.04 cu.m.	18,358.96 cu.m.
Gmelina	900.00 cu.m.	none	900.00 cu.m.

WHEREAS, the **BUYER** is a holder of Certificate of Registration as Lumber Dealer No. LD-R13-21-06242025 duly issued by Maritess M. Ocampo, Incharge, Office of the Regional Executive Director and OIC, ARD for Technical Services DENR CARAGA Region in concurrent capacity on June 24, 2024 to expire on June 24, 2025 and has not violated pertinent DENR laws, rules and regulations.



WHEREAS, the **SUPPLIER** is willing to sell and supply lumber/chainsaw-cut lumber with a volume of **300.0 cubic meters (63,600 bd.ft.) Falcata** and **300.0 cubic meters (63,600 bd.ft.) Gmelina** as may be required or necessary for the latter's Lumber Dealer business and the **BUYER** is willing to purchase from the supplier such available volume.

NOW, THEREFORE, for and in consideration of the premises mentioned hereinabove, the parties here agree to enter into this **LUMBER SUPPLY CONTRACT** where the supplier shall sell and deliver to the **BUYER** chainsaw-cut lumber from its approved Five-Year Work Plan (FYWP) under the following terms and conditions.

1. That the deliveries of lumber/chainsaw-cut lumber under this contract shall be covered by the necessary supporting documents from the DENR and other Government agencies certifying as to the legality of the source;
2. That the quality of lumber/chainsaw-cut lumber to be supplied shall be scaled by the **SUPPLIER** at the area for the determination of final grading as basis for the pricing and same shall be graded and rescaled by the **BUYER** upon delivery;
3. The **SUPPLIER** shall not be held liable and/or responsible for any omission and/or delay in the performance of its obligation under this contract caused by or arising from **FORCE MAJEURE** or **ACTS OF GOD** and other fortuitous events.



THAT both parties further agreed that:

1. The approving officer shall be free from any liability, criminal and/or otherwise in the event of breach of contract between the two (2) contracting parties;
2. The DENR shall not be made a party of any breach arising from non-performance of the obligations stipulated in the contract by any of the contracting parties.
3. Any proven violations against pertinent DENR laws, rules and regulations committed by either of the contracting parties shall be sufficient cause for the cancellation of this contract.
4. This agreement shall be subject to other pertinent DENR laws, rules and regulations governing that matter.
5. The validity of this agreement shall be one (1) year effective immediately upon its approval by the DENR and automatically deemed earlier terminated when the volume contracted are exhausted, whichever comes first. It is being understood that either party may withdraw from it and declare it cancelled and of no effect within thirty (30) days written notice on the other party and that the DENR Region 13 shall also be notified.

IN WITNESS WHEREOF, the parties have hereunto affixed their signatures this 01st day of July 2025 at Bayugan City, Agusan del Sur, Mindanao, Philippines.

Mabuhay Timberland Farmers Multi-purpose Cooperative (MATILFAMCO)

Prosperidad Lumber Dealers and Furniture Association, Inc. (PLDFAI)

By:

JAY RYAN M. RAFASOLA
CBFMA-PQ Chairman/Supplier

By:

ARNEL L. ALUTE
President, PLDFAI/Buyer

Witnesses:

SARIN P. PAREJO
CENRO Officer

NORMAN A. ASUGAN
PENR Officer



Approved by:

Republic of the Philippines)
Province of Agusan del Sur : S.S
City of Bayugan)

MARITES M. OCAMPO
OIC, Regional Executive Director

BEFORE ME, at the Bayugan City, Philippines this 01st day of July, 2025 personally appeared Mr. Arnel M. Alute with Community Tax Certificate No. 12983824 issued on 1-28-25 at PROSPERIDAD, ADR and Mr. Jay Ryan M. Rafasola with Community Tax Certificate No. 12994687 issued on 1-28-25 at DABUNAN, PALS both known to me that the same is their free and voluntary deed.

This instrument consists of two (2) pages including this page wherein acknowledgment is written and has been signed by the parties and their instruments witness.

WITNESS MY HAND AND SEAL at the place and date first above written.

Doc No. 492
Page No. 46
Book No. CA
Series of 2025

ATTY. FERDINAND M. BANCOSA
NOTARY PUBLIC
UNTIL 2025
PTR NO. 12983824
BP NO. 12994687
ROLL NO. 1011
VOLUME 1011

Note: The actual supply/delivery under this contract shall only be allowed if both parties have valid permits/authorities issued by the DENR.



MEMORANDUM

TO : THE PENR OFFICER
PENRO Agusan del Sur

ATT'N : THE CENR OFFICER
CENRO Bayugan City

FROM : THE REGIONAL EXECUTIVE DIRECTOR

SUBJECT : REQUEST FOR THE REVISION OF THE AFFIRMED
COMMUNITY RESOURCE MANAGEMENT FRAMEWORK
(CRMF) AND FIVE YEAR WORK PLAN (FYWP) OF CBFM-
PO MABUHAY TIMBERLAND FARMERS MULTI-PURPOSE
COOPERATIVE (MATILFAMCO), HOLDER OF CBFMA NO.
71001 LOCATED AT BRGY. MABUHAY, PROSPERIDAD,
AGUSAN DEL SUR

DATE : OCTOBER 6, 2022



This pertains to your memorandum dated October 4, 2022 with pertinent enclosures relative to the request of CBFM-PO Mabuhay Timberland Farmers Multi-Purpose Cooperative (MATILFAMCO), holder of CBFMA No. 71001 located at Brgy. Mabuhay, Prosperidad, Agusan del Sur for the revision of earmarked for harvesting/utilization from ENGP established plantation to KOICA project and PO initiative tree plantation.

Review and evaluation of the submitted documents supporting the request for approval of earmarked harvesting/utilization of the said CBFM-PO disclosed the following information:

1. The CBFM-PO Mabuhay Timberland Multi-Purpose Cooperative (MATILFAMCO) formerly *Mabuhay Timberland Farmers Association (MATILFA)*, Incorporated is a duly organized People's Organization registered with the Cooperative and Development Authority (CDA) with Registration No. 9520-13010122. The PO composed of 108 members, of which 43 are males and 65 are females;
2. The MATILFAMCO was awarded with Community Based Forest Management Agreement (CBFMA) bearing CBFMA No. 71001 on May 13, 1998 covering a total area of 2,115 hectares located at Barangay Mabuhay, Prosperidad, Agusan del Sur represented by Mr. Jay Ryan M. Rafosala as the Chairperson of the PO;
3. Sometime in February 2021, the Enhanced Community Resource Management Framework (CRMF) and Five Year Work Plan (FYWP) of CBFM-PO MATILFAMCO has been affirmed and approved by the Undersecretary for Field Operation and Environment, Atty. Juan Miguel T. Cuna, CESO I;
4. From 2011 to 2021, MATILFAMCO had developed a total of 690 hectares under National Greening Program (NGP), Community Based-Forest Management -

CBFM file

Comprehensive Agrarian Reform Program (CBFM-CARP) and Korea International Cooperative Authority (KOICA), as shown hereunder;

Year Implemented	Projects	Species Planted	Area Developed (ha)
2011	NGP	Falcata, Cacao	150
2011	CBFM-CARP	Rubber, Falcata and Abaca	50
2012	KOICA	Falcata	100
2013	NGP	Falcata	100
2014	NGP	Falcata, Rubber, Coffee, Indigenous	185
2020	ENGP	Falcata, Indigenous	25
2021	ENGP	Falcata, Indigenous	80
Total			690

5. Per Memorandum dated October 3, 2022 from the CENR Officer of Bayugan, CBFM-PO MATILFAMCO intends to harvest/utilize a total of 100 hectares of PO initiated tree plantation for the next five years, as shown below;

Harvesting Year	Name of Project	Species	Area (ha)	Estimated Volume (cu.m.)
Year 1 (2022)	PO Initiative Tree Plantation	Falcata	15	3,299.60
		Gmelina		300.00
Year 2 (2023)	PO Initiative Tree Plantation	Falcata	20	4,399.40
		Gmelina		300.00
Year 3 (2024)	PO Initiative Tree Plantation	Falcata	21	4,619.40
		Gmelina		300.00
Year 4 (2025)	PO Initiative Tree Plantation	Falcata	22	4,839.30
Year 5 (2026)	PO Initiative Tree Plantation	Falcata	22	4,839.30
Total			100	22,897.00

To smoothly implement the DENR programs/ projects within CBFM-PO MATILFAMCO and in view of the abovementioned findings and observations, this office recommends the following;

1. Exclude harvesting/utilization of NGP projects that has not yet complied pursuant to the Memorandum dated December 18, 2018 from the Undersecretary for Field Operations, Atty. Juan Miguel T. Cuna relative on the harvesting of NGP plantations established unless otherwise same shall already undergo and pass the performance evaluation with atleast 85% survival rate and already be adopted through a Memorandum of Agreement (MOA) forged by and between the concerned DENR Officer and CBFM PO represented by its chairman.

In addition, be informed that all forest products harvested from forest plantation established using government funds shall be subject to a sharing agreement negotiated between the CBFMA holder and the DENR pursuant DENR Administrative Order No. 98-42, as follows;

- a. For the People's Organization – 75% of the gross sales
 - b. For the government – 12.5% of the gross sales
 - c. For the CBFM fund (created under Section 8 of EO 263) 12.5% of the gross sales
2. Be reminded further with the memorandum from the ASEC for Policy, Planning and Foreign Assisted and Special Projects and then Director, FMB in Concurrent Capacity, Marcial C. Amaro, Jr. CESO II dated March 30, 2022 pertaining on the revised DENR Manual of Authorities for Technical Matters which stated that **no cutting/harvesting permit** shall be required on established tree plantation covered by existing tenure instrument (CBFMA) but all harvesting should be done in accordance/consistent with the affirmed CRMF and approved FYWP.

Hence, this office recommends to allow the concerned CBFM-PO to harvest/ utilize the established PO initiative plantation following the DENR Administrative Order (DAO) No. 2020-18 dated December 17, 2020.

In line with this, you are hereby instructed to closely supervise the harvesting operations of the concerned CBFM PO. Cutting operations shall also be strictly confined within the operable area as shown in the GIS map as one of the integral attachment of the affirmed FYWP. The CBFM PO is also required to undertake the developmental activities as programmed to be accomplished in the affirmed CRMF and FYWP. Submit to this office progress report for our ready reference, consolidation and subsequent action on the matter.

For information and appropriate action.


NONITO M. TAMAYO, CESO III

SUMMARY OF STRATEGIES AND ACTIVITIES TO BE UNDERTAKEN FOR THE NEXT FIVE YEARS

COMPONENT	STRATEGIES & ACTIVITIES	ENVIRONMENTAL IMPACT	MITIGATION (mapadall)	UWM	TARGET	YEARLY MILESTONE					RESPONSIBLE PERSON	REMARKS
						1 (2022)	2 (2023)	3 (2024)	4 (2025)	5 (2026)		
FORESTLAND (Environment) Forest Vegetation/ Land Cover	Conduct monitoring and patrol works in the protection and conservation of CBFM area	Balance Ecology and prevention from illegal activities	Proper protection and conservation of land cover	per hectare	2,115.0	2,115.0	2,115.0	2,115.0	2,115.0	2,115.0	PO	
	Tree planting on riverbanks (easment) for protection	Enhance forest cover / Mitigate soil erosion	Proper protection and conservation of riverbanks	per hectare	40.0		10.0	10.0	10.0	10.0	PO	
	Plantation / Reforestation Activity	Enhance forest cover while addressing economic well-being of the PO members	Appropriate silvicultural practice	per hectare	100.0		20.0	20.0	30.0	30.0		
	Utilization of planted species		Immediate reforestation of logged-over areas	per hectare	100.0	15.0	20.0	21.0	22.0	22.0		Harvesting only of established tree plantation under KOICA project
			Falcata	Volume (cubic meter)		3,299.6	4,399.4	4,619.4	4,839.3	4,839.3		Per conducted inventory Average Volume per hectare 219.97 cubic meters
			Gmelina	Volume (cubic meter)		300.0	300.0	300.0				Average volume @100cubic meters per hectare
	Bantay-gubat (monitoring and patrol works)	Protect resources		No. of person	2	2	2	2	2	2	PO	

ORGANIZATIONAL DEVELOPMENT People's Organization	PO monitoring station establishment		No.	1		1					
	Assessment of Possible Ecotourism Site	Improve surroundings/Community improvement	No.	1		1				PO	
	Conduct a Regular and monthly meeting	Promotes unity and empowerment	No. of meetings	60	12	12	12	12	12	12	PO
	Emergency meeting			1	1	1	1	1	1	1	As the need arises
	Capability building and values formation	PO Strengthened and empowered	Team building	No. of meetings	5	1	1	1	1	1	PO
	Maintenance of PO Office & facilities	comfortable and ammenities		per year	5	1	1	1	1	1	PO
	General Assembly Meeting	Strengthen organization/transparency of the PO		No.	5	1	1	1	1	1	PO president and BOD's
	Conduct on financial and technical capability of the PO	Financial and technical literate members of the PO		no.	5	1	1	1	1	1	PO
	Implementation of policies, rules and regulation agreed by the PO	Strengthened the organization with common vision and aspiration		no. of regulation agreed	Atleast 10 internal policy	2	2	2	2	2	PO
	Membership expansion	PO Upliftment		No. of person	22	2	5	5	5	5	PO president and BOD's

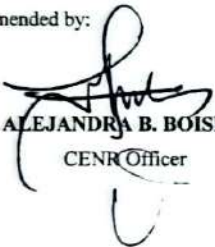
	Submission of Annual reports to registering agency			No.	5	1	1	1	1	1		
	Preparation for the renewal of CBFMA			No.	1	1	1				PO president and BOD's	
	CBFMA Expansion			No.	1		1				PO president and BOD's	
Economic / Livelihood Enterprise Development	Advertisement/Eco-Tourism promotion (tarpaulin, flyers & etc.)	Public Awareness		No. of promotion	1		1				PO president and BOD's	
	Creation of Livelihood and Marketing Committee			no.	1	1	1	1	1	1	PO	
	Training on pests and diseases control and management			training	2		1		1		DA	
	Trainings on food processing (banana chips)	Capability enhancement		No. of trainings	2		1	1			DTI, DA, DOLE	
	Establishment of wood processing plant and minisawmill			No.	1	1					PO	DENR through AFOCO
	OGAs: Conduct of training and seminar; Simple book keeping and financial management	Enhance the capacity of PO		No.	5		1	1	1	1	PO President, BOD's	
	NGOs: Conduct of organizational management	Enhance the capacity of PO	w	No.	5		1	1	1	1	PO President, BOD's	

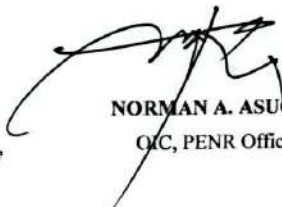
SUPPORT SERVICES REQUIRED BY THE PO's (SOCIAL)	Funding Institution: linkaging/networking with other agencies that can support Financially for livelihood (Abaca, Coconut, Livestock/Poultry)		linking with funding institution	No.	5	1	1	1	1	1	PO	
	LGU: Farm to Agri/Eco- tourism road	accessible road	submit proposal	km.	2		1	1			PO	DPWH, LGU, DTI
	Logistics Support	access of basic services and facilities		unit	8		3	3	1	1	PO, LGU, Tourism	

Prepared by:


JAY RYAN A. RAFOSSALA
MATILFAMCO Chairperson

Recommended by:


ALEJANDRA B. BOISER
CENR Officer


NORMAN A. ASUGAN
OIC, PENR Officer

Affirmed/Approved by:


NONITO M. TAMAYO, CESO III
Regional Executive Director

For Signature

1032321
OFFICE
AGUSAN DEL SUR

ATTN: The CENR Officer
CENRO Bayugan
Brgy. Maygatasan, Bayugan City

00179-100

FROM : THE REGIONAL EXECUTIVE DIRECTOR

SUBJECT : AFFIRMED COMMUNITY RESOURCE MANAGEMENT
FRAMEWORK (CRMF) AND APPROVED FIVE-YEAR WORK
PLAN (FYWP) OF CBFM-PO MABUHAY TIMBERLAND
FARMERS MULTIPURPOSE COOPERATIVE
(MATILFAMCO), HOLDER OF CBFMA NO. 71001 LOCATED
AT BARANGAY MABUHAY, PROSPERIDAD, AGUSAN DEL
SUR

DATE : MARCH 2, 2021

Forwarded is the **AFFIRMED** Community Resource Management Framework (CRMF) and **APPROVED** Five Year Work Plan (FYWP) of Mabuhay Timberland Farmers Multipurpose Cooperative (MATILFAMCO), holder of CBFMA No. 71001 located at Barangay Mabuhay, Prosperidad, Agusan del Sur by Atty. Juan Miguel T. Cuna, Undersecretary for Field Operations and Environment.

Upon harvesting of the planted trees as indicated in the approved FYWP, the replanting activities shall be in accordance with the replanting plan indicated in the affirmed CRMF and harvested plantations shall in no case be converted into agricultural plantations.

Please provide technical advice and assistance to the said CBFM-PO and monitor compliance/adherence to their plans based on forestry rules and regulations.

Submit terminal report of the performance of the said CBFM-PO particularly on the harvesting and disposition of the granted volume including the developmental obligations as indicated in the approved FYWP.

For information and strict compliance.

CERTIFIED XEROX COPY
FROM: ORIGINAL / DUPLICATE
DATE: 14 AUG 2025
BY: ELYEH MANULAT

NONITO M. TAMAYO, CESO IV

SUMMARY OF STRATEGIES AND ACTIVITIES TO BE UNDERTAKEN FOR THE NEXT FIVE YEARS												
COMPONENT	STRATEGIES & ACTIVITIES	ENVIRONMENTAL IMPACT	MITIGATION (mapadali)	UW/M	TARGET	YEARLY MILESTONE					RESPONSIBLE PERSON	REMARKS
						1 (2022)	2 (2023)	3 (2024)	4 (2025)	5 (2026)		
FORESTLAND (Environment) Forest Vegetation/ Land Cover	Conduct monitoring and patrol works in the protection and conservation of CBFM area	Balance Ecology and prevention from illegal activities	Proper protection and conservation of land cover	per hectare	2,115.0	2,115.0	2,115.0	2,115.0	2,115.0	2,115.0	PO	
	Tree planting on riverbanks (sacrament) for protection	Enhance forest cover / Mitigate soil erosion	Proper protection and conservation of riverbanks	per hectare	40.0	10.0	10.0	10.0	10.0	10.0	PO	
	Plantation / Reforestation Activity	Enhance forest cover while addressing economic well-being of the PO members	Appropriate silvicultural practice	per hectare	100.0	20.0	20.0	30.0	30.0	30.0		
	Utilization of planted species		Immediate reforestation of logged-over areas	per hectare	100.0	15.0	20.0	21.0	22.0	22.0		Harvesting only of established tree plantation under EQCA project
				Falcata	Volume (cubic meter)		3,299.6	4,399.4	4,619.4	4,839.3	4,839.3	
			Gmelina	Volume (cubic meter)		300.0	300.0	300.0				Average volume 8100cubic meters per hectare
	Bantay-gubat (monitoring and patrol works)	Protect resources		No. of person	2	2	2	2	2	2	PO	

**CERTIFIED XEROX**
FROM: ORIGINAL / DUPLICATE
DATE: 14 AUG 2025
BY: ELYEH MANULAT

FORESTLAND
(Environment)
Forest Vegetation/
Land Cover

CERTIFIED XEROX COPY
FROM: ORIGINAL / DUPLICATE
DATE: 14 AUG 2025
BY: ELYEH MANULAT

[illegible]

**Economic /
Livelihood
Enterprise
Development**

1 4 AUG 1 2025

ELYEHN MANULAT

SUPPORT SERVICES REQUIRED BY THE PO's (SOCIAL)	Funding Institution: Linking/networking with other agencies that can support financially for livelihood (Abaca, Coconut, Livestock/Poultry)	Linking with: funding institution	No.	5	1	1	1	1	1	PO	
	LGU: Farm to Agri/Eco- tourism road	submit proposal	km.	2		1	1			PO	DPWH, LGU, DMI
	Logistics Support	access of basic services and facilities	unit	8		3	3	1	1	PO, LGU, Tourism	

Prepared by:

JAY RYAN
MATH PAVCA
Chairperson

Recommended by:

ALFJANDRA B. BUJER
CENRO Officer

NORMAN A. ASUGAN
QC, PENR Officer

Attested/Approved by:

NONITO M. TAMAYO, CESO III
Regional Executive Director



Republic of the Philippines
DEPARTMENT OF ENVIRONMENT AND NATURAL RESOURCES
OFFICE OF THE PENRO
PENRO AGUSAN DEL SUR

COMMUNITY-BASED FOREST MANAGEMENT AGREEMENT (CBFMA)
NO 71001

OF

MABUHAY TIMBERLAND FARMERS ASSOCIATION, INC.
(MATHFA)

Purok 4, 5, 7 and 8
Barangay Mabuhay, Prosperidad, Agusan del Sur

This AGREEMENT, made and entered into by and between the Office of PENRO AGUSAN DEL SUR, for and in behalf of the Republic of the Philippines, hereinafter referred to as the DENR, and the MABUHAY TIMBERLAND FARMERS ASSOCIATION, INC (MATHFA), with postal address at Barangay Mabuhay, Prosperidad, Agusan del Sur, hereinafter referred to as the CBFMA Holder.

WITNESSETH

WHEREAS, the DENR has the authority and jurisdiction over the forestlands to be included in the CBFMA

WHEREAS, the CBFMA Holder has resolved to enter into a Community-Based Forest Management Agreement over the aforementioned area pursuant to the provisions of DENR Administrative Order No. 96-29.

[Handwritten signatures]

CERTIFIED XEROX COPY
FROM: ORIGINAL / DUPLICATE
DATE: 14 AUG 2025
BY: ELYEHN MANULAT

WHEREAS, the concerned LGUs having joint responsibility with DENR over community-based management in accordance with the Local Government Code, endorse this CBFMA

WHEREAS, implementation of the agreement shall include the following components:

- a. forest rehabilitation, including agroforestry;
- b. forest protection;
- c. development of alternative livelihood opportunities not necessarily dependent on forest products;
- d. forest products utilization; and,
- e. other activities that may be identified in the future consistent with the Community Resources Management Framework (CRMF) of the area.

WHEREAS, the DENR and the CBFMA Holder have agreed to enter into a Community-Based Forest Management Agreement;

NOW THEREFORE, for and in consideration of the foregoing premises, the DENR agrees to devolve to the CBFMA Holder the responsibility for managing Two Thousand One Hundred Fifteen (2,115) hectares of forestland located at Purok 4, 5, 7 and 8, Barangay Mabuhay, Municipality of Prosperidad, Agusan del Sur, Philippines, hereinafter referred to as the CBFMA AREA, the description and boundaries of which are shown in the attached map which forms part of this AGREEMENT, subject to final survey and ground delineation.

OBLIGATIONS OF PARTIES

1.0 The DENR shall:

- 1.1 Protect and ensure exclusive occupation and the use of the forestland covered by this CBFMA and the forest products therein to the CBFMA Holder, subject to prevailing laws, rules and regulations, and prior rights;
- 1.2 Provide assistance to the CBFMA Holder as part of the DENR's normal operations, more particularly in the preparation, updating and implementation of the Community Resources Management Framework (CRMF), Resource Use Plans (RUPs), and Annual Work Plans (AWPs).

CERTIFIED XEROX COPY

FROM: ORIGINAL / DUPLICATE

DATE: 14 AUG 2025

ELIENH MANILA

1.3 Deputize qualified members of the CBFMA Holder as Environment and Natural Resources Officers (ENROs) upon request of the CBFMA Holder pursuant to DAO No. 41, series of 1991 and other pertinent regulations, and,

1.4 In case the province is under logging moratorium, exempt the CBFMA area.

2.0 The CBFMA Holder shall:

2.1 Immediately assume responsibility for the protection of the entire forestlands within the CBFMA area against illegal logging and other unauthorized extraction of forest products, slash-and-burn agriculture (kasingin), forest and grassland fires, and other forms of forest destruction; and assist DENR in the prosecution of violators of forestry and environmental laws,

2.2 Follow all duly promulgated laws, rules and regulations pertinent to forest management;

2.3 Prepare and implement CRMF, RUP and Annual Work Plans with assistance from DENR and LGU;

2.4 Formulate and implement benefit sharing schemes among its members; and,

2.5 Pay the required forest charge and other fees

3.0 OTHER CONDITIONS:

3.1 The DENR shall give first priority to the CBFMA Holder in obtaining privilege to extract, utilize and dispose any mineral resource and minor forest product found within the CBFMA area, subject to existing laws, rules and regulations;

3.2 Consistent with DAO 96-29, the CBFMA Holder shall identify and recognize legitimate individual and family claims within the CBFMA area, and recommend to the DENR the issuance of Certificate of Stewardship Contracts (CSCs) in the CBFMA area, and,

3.3 The CBFMA Holder shall have the right and privilege to enter into agreements or contracts with private or government entities for the development of the whole or portions of the CBFMA area consistent with the CRMF and as provided under DAO 96-29.



4.0 DURATION OF CBFMA

This Agreement shall have a term of twenty five (25) years counted from the date this Instrument is notarized and be eligible for renewal thereafter for an additional twenty five (25) years subject to compliance by the CBFMA Holder with the terms of this Agreement and other pertinent laws, rules and regulations.

5.0 RESOLUTION OF DISPUTES

Any disputes among the parties hereto arising from or related to the provisions of this Agreement shall be settled by arbitration, with each party represented by one (1) arbitrator and a third arbitrator named by the two (2) parties. If it is not possible to settle disputes through arbitration, the disputes shall be submitted for the decision to the appropriate court of law having jurisdiction on the matter.

6.0 TERMINATION AND AMENDMENT OF CBFMA

The CBFMA may be terminated based on the non-performance of the CBFMA Holder or violation of any provision herein stated by any of the parties. Further, this Agreement may be amended and supplemented with conformity of both parties.

7.0 FORCE MAJEURE

In any event of FORCE MAJEURE and other causes such as earthquakes, typhoons, storms, floods, epidemics and other similar phenomenon affecting the performance of the CBFMA Holder, it shall give notice to DENR within thirty (30) days after the occurrence, including a statement describing the force majeure and its effect upon the CBFMA Holder's ability to perform under the conditions of the CBFMA. The parties shall meet regarding action to be taken within five (5) days after such notice.

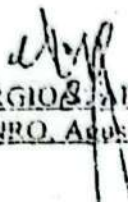
8.0 PENALTY CLAUSE

In the event of default in any of the above undertaking by the CBFMA Holder, nothing herein shall preclude the DENR from resorting to such judicial remedies, civil or criminal, to which it may be entitled under existing laws.



NOW THEREFORE the parties hereto signified their agreement to the foregoing provisions by affixing their signature hereunder on this 13th day of May 1998 in Prosperidad, Agusan del Sur, Republic of the Philippines

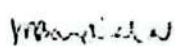
FOR DENR


SERGIO S. ARESTA
DENR, Agusan del Sur

FOR THE CBFMA HOLDER:


LEONARDO S. MORGADEZ
President, MATHLEA

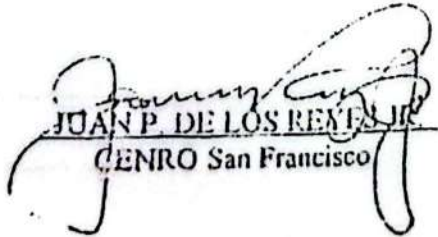
CONCURRED BY:

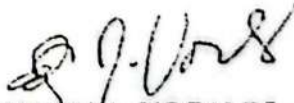

HON. MARIO M. BANDIALA SR.
Barangay Legislative Council


HON. NESTOR L. CORVERA
Municipal Legislative Council

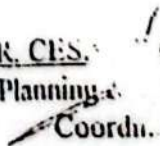

HON. ANTONIO B. MATURAN
Municipal Mayor

WITNESSES:


JUAN P. DE LOS REYES JR.
DENRO San Francisco


EDWIN A. VOCALES
SB for Environment


CERTIFIED XEROX COPY
FROM: ORIGINAL / DUPLICATE
DATE: 14 AUG 2025
BY: ELYEH MANULAT


ENGR. CES. MAHALLA
Mun. Planning & Development
Coordinator

ACKNOWLEDGMENT

REPUBLIC OF THE PHILIPPINES)
) S.S.

BEFORE ME, a Notary Public for and in the San Francisco, Agusan Sur
Philippines, on this 2 day of July 1998 personally appeared the following with
their respective certification opposite their names:

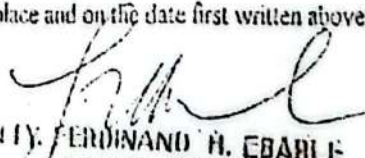
NAME	COM. TAX CERT. NO.	DATE/PLACE ISSUED
<u>SERGIO S. ARESTA</u> <u>LEONARDO M. MORGADAZ</u>	<u>3256742</u> <u>12023456</u>	<u>Nov 20/98 Agusan Sur</u> <u>2-7-98 Prosperidad, SDS</u>

known to me to be the same persons who executed the foregoing instrument, and who
acknowledged to me that the same is their free and voluntary act and deed, as well as the free
and voluntary act and deed of the entities represented herein.

This instrument, which is the COMMUNITY-BASED FOREST MANAGEMENT
AGREEMENT, consists of six (6) pages including this page where the Acknowledgment is
written, and is signed by the parties and their instrument on each page thereof.

WITNESS MY HAND AND SEAL, at the place and on the date first written above.

Doc. No. 258
Page No. 48
Book No. 120
Series of 1998


M. Y. FERDINAND H. EBAHLE
NOTARY PUBLIC
UNITED STATES OF AMERICA
JANUARY 10, 1999
SIGNED ON JAN 10, 1999
OFFICE AT PATINAY, P.A.O.S.

